The Japanese Business Association
of Ho Chi Minh City

#1407, Sun Wah Tower
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THE JAPANESE BUSINESS ASSOCIATION OF HO CHI MINH CITY (JBAH)

SOCIALIST REPUBLIC OF VIETNAM
Independence – Freedom – Happiness

No: 09/2016JBAH

Ho Chi Minh City, 26 October 2016

Respectfully to: **Ministry of Finance**
28 Tran Hung Dao Street, Phan Chu Trinh Ward
Hoan Kiem District, Hanoi, Vietnam

Re. Problems on personal income tax policy regarding annual membership fees contributed to the fund of Japanese Business Association of Ho Chi Minh City

The Japanese Business Association of Ho Chi Minh City ("JBAH" or "the Association") would like to convey our respectful greetings to the Ministry.

We have received your official letter No. 14518/BTC-CST of the Ministry dated 14 October 2016 answering our official letter No. 07/2016JBAH dated 23 August 2016. However, the PIT policy regarding membership fees contributed by our corporate members to the Association's fund still makes us confused. Therefore, we would like to receive a more detailed response from the Department.

1. The background

As explained in our previous official letter, in order to maintain the Association's operations, each year the corporate members contribute membership fees to the Association's fund and that fund is used to cover the Association's operating costs.

The corporate members will appoint their employees as their representatives to participate in the Association's activities. The participation in the Association by the individuals who are the corporate members' representatives are their obligations and tasks assigned by their employers, absolutely not for their personal benefits. In addition, the individuals who are the corporate members' representatives do not receive any benefit in cash or in kind from the Association for their participation in the Association. On those bases, the annual membership fees contributed by the corporate members should not be considered as for personal benefits. Accordingly, we understand that the reliance on Point dd.3, Clause 2, Article 2, Circular 111/2013/TT-BTC dated 15 August 2013 of the Ministry of Finance guiding on PIT taxable income *"dd.3) The membership fees and other services for the individuals' benefits such as health care, entertainment, sports and aesthetic"* to consider the annual membership fees contributed to Japanese Business Association of Ho Chi Minh City as taxable income for PIT purpose are totally unreasonable and unwarranted.

We trust that the membership fees contributed by the corporate members to the Association and the corporate members appoint their representatives to participate in the Association accordingly shall not subject to PIT for the following reasons:

a. This is the corporate membership fees contributed to the Association by its corporate members;
b. The receipts issued by the Association to the corporates, not to any particular individual;
c. The participation of the individuals in the Association is upon the employer's requests and a part of the tasks assigned by the employer; and
d. The individuals representing for the corporate members might be changed in a flexible manner, depending on the corporate members' human resource plan and operation on demand as well as the individual's competences.

2. Our proposal

Given the above, on behalf of the Japan-invested corporates in Ho Chi Minh City and Southern Vietnam, we respectfully request the Ministry of Finance to consider and confirm our understanding that **the annual membership fees contributed by corporate members to Japanese Business Association of Ho Chi Minh City's funds shall not be considered as taxable income of the individuals representing the corporate members.**

A sample of the receipt issued by the Association is enclosed for your reference.

We sincerely thank you and look forward to receiving the Ministry's feedbacks soon so that we can give a reasonable answer to all of the corporate members of Japanese Business Association of Ho Chi Minh City.

Sincerely yours,

Takahisa Onose
Chairman of Finance - Taxation – Custom Committee
The Japanese Business Association of Ho Chi Minh City

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SAMPLE

Jul 15th, 2016

PHIẾU THU
(Receipt)

Tên công ty (Company name): JBAH

Số tiền (Amount): VND 17,394,000

Bằng chữ (In words):
Mười bảy triệu ba trăm chín mươi bốn ngàn đồng chẵn.
Seventeen million three hundred ninety-four thousand dongs only.

Về khoản (Re): Phí hội viên niên độ 2016
Membership fee of fiscal year 2016

Ngày nhận (Date): 30/6/2016

Hiệp Hội Doanh Nghiệp Nhật Bản tại TP.HCM
(The Japanese Business Association of HCMC)

OBAYASHI ISAO
Tổng thư ký
Secretary General